Samsung Electro-Mechanics

Strong earnings momentum exceeding consensus; trim PO, but reiterate Buy

Reiterate Rating: BUY | PO: 2,000,000 KRW | Price: 1,155,000 KRW

Upbeat 3Q results and bullish guidance expected

Samsung Electro-Mechanics (SEMCO) will announce its 3Q results on 28 Oct. We don't expect an earnings miss; rather, we see potential for an upbeat results (OP: W660bn vs consensus low-W600bn). Key contributors should be better-than-expected volume/price among FC-BGA, BGA and MLCC. This should have led to at least a 1ppt improvement in OP margin (our new estimate for firm's total: 18% vs old: 17%). True, we still assume lower OP margin for MLCC (23%) and semis substrate (22%) vs bullish camp's view (25%+ for both) but it is good enough to see upcycle or record-high 3Q OP (normal level: W300bn range). SEMCO has also actively disclosed customers' long-term orders YTD (silicon capacitor: W1.6tn; MLCC: W2.4tn; semis substrate: W0.4tn). This is also consistent with management's long-term capex plans (e.g., W9-10tn over the next few years; mostly for FC-BGA capacity expansion in Korea and Vietnam). Net-net, SEMCO is likely to provide more bullish long-term guidance at its 3Q earnings call.

PO cut mostly related to FX but 50%+ stock upside seen

SEMCO's revenue (camera module, MLCC, substrate) is mostly USD denominated. Thus, 1% KRW appreciation can easily reduce OP by 1%+, according to our sensitivity analysis. Current FX rate (W1.33k/USD) is nearly 15% lower than June high (W1.55k/USD). Of course, 4Q ASP for MLCC and substrate appears 10-20%+ higher than 2Q average, which mitigates KRW appreciation-led margin erosion. However, we lower 2027-28E OPM by 1-2%. This leads to nearly 8% cut in 2027-28 EPS estimate. Against this backdrop, we trim PO from W2.4mn (35x 2027-28E EPS) to W2.0mn (32x). Our target P/E is still lower than SEMCO's 2017 peak (over 40x, above the 2018 cloud boom). SEMCO's current share price reveals only 19x P/E (based on 2027-28E EPS) vs 20-30x among Japan/Taiwan peers. Quadrupling 2028 OP to W8tn from W2tn in 2026, on the back of AI MLCC/substrate boom, could also be a long-term catalyst. Our new PO still presents 50%+ stock upside potential even after 86%+ rally YTD; reiterate Buy.

Estimates (Dec) (W)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - bn)	679	707	1,646	3,977	6,255
EPS	8,752	9,115	21,210	51,244	80,599
EPS Change (YoY)	61%	4%	133%	142%	57%
Dividend / Share	1,800	2,350	5,303	12,811	20,150
Free Cash Flow / Share	8,426	3,840	-16,933	-4,225	37,652
Valuation (Dec)					
P/E	132.0x	126.7x	54.5x	22.5x	14.3x
Dividend Yield	0.2%	0.2%	0.5%	1.1%	1.7%
EV / EBITDA*	56.6x	48.2x	27.5x	13.5x	9.0x
Free Cash Flow Yield*	0.8%	0.3%	-1.5%	-0.4%	3.4%

* For full definitions of *iQmethod℠* measures, see page 19.

22 October 2026

Equity

Key Changes

(W)	Previous	Current
Price Obj.	2,400,000	2,000,000
2026E EPS	20,714	21,210
2027E EPS	55,900	51,244
2028E EPS	87,332	80,599

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Stock Data

Price	1,155,000 KRW
Price Objective	2,000,000 KRW
Date Established	22-Oct-2026
Investment Opinion	C-1-7
52-Week Range	200,500 KRW-2,417,000 KRW
Mrkt Val / Shares Out (mn)	64,956 USD / 74.7
Market Value (mn)	86,271,219 KRW
Average Daily Value (mn)	942.93 USD
Free Float	63.7%
BofA Ticker / Exchange	SMSGF / KSC
Bloomberg / Reuters	009150 KS / 009150.KS
ROE (2026E)	16.1%
Net Dbt to Eqty (Dec-2025A)	-5.5%

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Refer to important disclosures on page 20 to 22. Analyst Certification on page 17. Price Objective Basis/Risk on page 17.

AI: Artificial intelligence
ASP: Average selling price
FC BGA: Flip chip ball grid array
LTA: Long-term agreement
MLCC: Multi-layer ceramic capacitor

iQprofile℠ Samsung Electro-Mechanics

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(W Billions)					
Sales	10,294	11,314	14,513	20,005	25,932
Gross Profit	1,959	2,277	3,818	7,084	10,210
Sell General & Admin Expense	(1,224)	(1,364)	(1,624)	(1,716)	(1,802)
Operating Profit	735	913	2,194	5,367	8,407
Net Interest & Other Income	63	(18)	21	(32)	(32)
Associates	(1)	1	2	20	20
Pretax Income	797	896	2,217	5,355	8,395
Tax (expense) / Benefit	(135)	(164)	(536)	(1,339)	(2,099)
Net Income (Adjusted)	679	707	1,646	3,977	6,255
Average Fully Diluted Shares Outstanding	0.078	0.078	0.078	0.078	0.078
Key Cash Flow Statement Data					
Net Income	638	707	1,646	3,977	6,255
Depreciation & Amortization	814	903	991	1,141	1,287
Change in Working Capital	(286)	(825)	(2,549)	(1,185)	(662)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	264	704	1,098	40	42
Cash Flow from Operations	1,430	1,490	1,186	3,972	6,922
Capital Expenditure	(776)	(1,192)	(2,500)	(4,300)	(4,000)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(30)	(31)	(51)	0	0
Cash Flow from Investing	(806)	(1,223)	(2,551)	(4,300)	(4,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(89)	(138)	(179)	(401)	(968)
Cash Flow from Financing	(309)	418	354	(274)	(1,812)
Free Cash Flow	654	298	(1,314)	(328)	2,922
Net Debt	(477)	(541)	191	642	(607)
Change in Net Debt	(278)	(51)	751	451	(1,249)
Key Balance Sheet Data					
Property, Plant & Equipment	5,933	6,222	8,036	11,236	13,989
Other Non-Current Assets	967	1,277	1,317	1,371	1,427
Trade Receivables	1,484	1,855	2,664	3,125	3,735
Cash & Equivalents	2,035	2,733	1,740	1,139	2,249
Other Current Assets	2,373	2,509	3,179	3,463	3,575
Total Assets	12,792	14,596	16,937	20,334	24,975
Long-Term Debt	0	188	194	179	165
Other Non-Current Liabilities	720	791	877	912	950
Short-Term Debt	1,558	2,003	1,737	1,601	1,476
Other Current Liabilities	1,499	1,816	2,888	3,327	3,267
Total Liabilities	3,777	4,799	5,696	6,020	5,858
Total Equity	9,016	9,797	11,241	14,315	19,117
Total Equity & Liabilities	12,792	14,596	16,937	20,334	24,975
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	5.7%	6.2%	12.4%	25.9%	32.6%
Return On Equity	8.2%	7.7%	16.1%	31.9%	38.2%
Operating Margin	7.1%	8.1%	15.1%	26.8%	32.4%
EBITDA Margin	15.0%	16.1%	21.9%	32.5%	37.4%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	2.1x	2.1x	0.7x	1.0x	1.1x
Asset Replacement Ratio	1.0x	1.4x	2.6x	3.9x	3.2x
Tax Rate (Reported)	17.0%	18.3%	24.2%	25.0%	25.0%
Net Debt-to-Equity Ratio	-5.3%	-5.5%	1.7%	4.5%	-3.2%
Interest Cover	NA	NA	NA	NA	NA

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 19.

Company Sector

Electrical Equipment

Company Description

SEMCO manufactures MLCC, camera modules and semis substrates. Key customers are Samsung, Qualcomm, Intel, Apple and China OEMs. As a global components vendor, the company is trying to expand its clientele to non-captive, and product portfolio to non-IT (ie, MLCC for auto). Profit generation is mostly based on MLCC. Samsung is the largest shareholder with 24% stake.

Investment Rationale

Our Buy rating is based on rising high-end component sales (MLCC, substrate, camera) to US Big Tech companies. Japan competitors already reveal high utilization (for AI server and autonomous driving-related MLCC and FC BGA substrate), as of 2H26. We also see China's small scale for high-end MLCC/substrate. We expect record-high/ upcycle OP generation for three consecutive years (W2-8tn pa in 2026-28 vs W0.9tn in 2025).

Stock Data

Price to Book Value	7.9x

Cut PO to W2.0mn; reiterate BUY

LTAs with Big Tech on track; W4.3tn order confirmed

SEMCO's growing portfolio of long-term agreements (LTAs) with global tech customers clearly underscores the company's strong design-win visibility and increasing exposure to AI and HPC demand. According to local regulatory filings (DART), SEMCO disclosed seven supply contracts in 2026 with an aggregate value of W4.3tn, equivalent to approximately 20% of our estimated 2027 total revenue. These contracts, which are predominantly one- to two-year supply agreements with large-scale global customers, reinforce SEMCO's position as a strategic supplier of critical electronic components. The largest contract is a W1.6tn silicon capacitor agreement extending through 2028, complemented by more than W2.3tn of MLCC supply wins and a W0.4tn memory substrate contract. We believe these LTAs reflect strengthening customer relationships, enhanced revenue visibility and expanding participation in next generation AI infrastructure.

Exhibit 1: According to local regulatory filings (DART), SEMCO disclosed seven supply contracts in 2026 with an aggregate value of W4.3tn, equivalent to approximately 20% of our estimated 2027 total revenue

SEMCO's official contract wins in 2026 according to local regulatory filings (DART)

Date	Product	Amount, Wbn	Customer	Duration	% of 2027 sales
10/19/2026	Memory substrate	360.5	Global large-scale customer	Jan 2027 to Dec 2027	1.8%
10/6/2026	MLCC	285.6	Global large-scale customer	Jan 2027 to Dec 2027	1.4%
9/29/2026	MLCC	285.0	Global large-scale customer	Jan 2027 to Dec 2027	1.4%
9/1/2026	MLCC	1,072.2	Global large-scale customer	Jan 2027 to Dec 2027	5.4%
7/23/2026	MLCC	295.1	Global large-scale customer	Jan 2027 to Dec 2027	1.5%
6/30/2026	MLCC	454.0	Global large-scale customer	Jan 2027 to Dec 2027	2.3%
5/20/2026	Silicon capacitor	1,557.0	Global large-scale customer	Jan 2027 to Dec 2028	3.9%
Total		**4,309.5**			**17.7%**

***Sales mix is based on our 2027 total sales estimate of W20tn**

Source: Company, BofA Global Research estimates

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Exhibit 2: SEMCO is significantly expanding its semis package substrate capacity with total capex spending of W30tn by 2040

SEMCO's semis package substrate capex plans according to local regulatory filings (DART)

Date	Amount, Wtn	Duration	Location	Purpose
9/28/2026	2.5	Apr 2028	Vietnam	To expand package substrate capacity in Vietnam facility
9/28/2026	4.3	Sep 2026 to May 2028	Sejong, South Korea	To expand package substrate capacity in Sejong
7/3/2026	15.0	Jan 2026 to Dec 2040	Busan, South Korea	To enhance competitiveness in AIDC server package substrate and MLCC
7/2/2026	8.0	Jan 2026 to Dec 2040	Sejong, South Korea	To enhance competitiveness in AI server package substrate
Total	**29.8**			

Source: Company, BofA Global Research

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Exhibit 3: We expect upbeat 3Q OP (W660bn vs consensus low-W600bn); key contributors should be better-than-expected volume/price among FC-BGA, BGA and MLCC
SEMCO – 2026 quarterly earnings; our estimate vs. consensus

(Wbn)	1Q26	2Q26	3Q26E			4Q26E		
	Actual	Actual	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**3,209**	**3,457**	**3,768**	**3,809**	**-1%**	**4,078**	**4,003**	**2%**
GM	20.6%	24.4%	28.5%	29.1%	-0.6%pt	30.3%	30.9%	-0.6%pt
OP	**281**	**440**	**660**	**636**	**4%**	**813**	**711**	**14%**
OPM	8.7%	12.7%	17.5%	16.7%	0.8%pt	19.9%	17.8%	2.2%pt
Net non-opex	-36	7	3	49	-94%	3	21	-86%
Pretax	316	433	657	588	12%	810	690	17%
Effective tax rate	20.2%	24.3%	25.0%	16.2%	8.8%pt	25.0%	20.3%	4.7%pt
NP	**249**	**316**	**483**	**492**	**-2%**	**598**	**550**	**9%**
EPS	**3,211**	**4,068**	**6,225**	**6,376**	**-2%**	**7,709**	**7,705**	**0%**

Source: Bloomberg, company, BofA Global Research estimates

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Exhibit 4: Both consensus and our estimates assume record-high topline growth and margins to continue in 2027-28E on the back of robust demand for MLCC and FC-BGA
SEMCO – 2026-28 annual earnings; our estimate vs. consensus

(Wbn)	2025	2026E			2027E			2028E		
	Actual	Our est	Cons	Diff	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**11,314**	**14,513**	**14,487**	**0%**	**20,005**	**19,525**	**2%**	**25,932**	**25,588**	**1%**
GM	20.1%	26.3%	25.4%	0.9%pt	35.4%	32.5%	2.9%pt	39.4%	36.2%	3.1%pt
OP	**913**	**2,194**	**2,067**	**6%**	**5,367**	**4,401**	**22%**	**8,407**	**6,871**	**22%**
OPM	8.1%	15.1%	14.3%	0.8%pt	26.8%	22.5%	4.3%pt	32.4%	26.9%	5.6%pt
Net non-opex	17	-23	-16	nm	12	10	17%	12	-124	nm
Pretax	896	2,217	2,084	6%	5,355	4,391	22%	8,395	6,996	20%
Effective tax rate	18.3%	24.2%	22.5%	1.6%pt	25.0%	21.4%	3.6%pt	25.0%	23.2%	1.8%pt
NP	**706**	**1,646**	**1,614**	**2%**	**3,977**	**3,449**	**15%**	**6,255**	**5,370**	**16%**
EPS	**9,099**	**21,213**	**21,203**	**0%**	**51,244**	**45,763**	**12%**	**80,599**	**71,565**	**13%**

Source: Bloomberg, company, BofA Global Research estimates

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Exhibit 5: We lower 1-2% OPM for 2027-28. This leads to ~8% EPS estimate cut for 2027-28. Against this backdrop, we also slim our PO from W2.4mn (35x 2027-28E EPS) to W2.0mn (32x).

SEMCO – Earnings revisions (2026-28E)

(Wbn, Won)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
EPS - fully diluted																
New	3,211	4,068	6,225	7,709	10,193	12,048	14,373	14,630	9,938	12,636	5,450	8,752	9,099	21,213	51,244	80,599
Old	3,211	4,068	5,881	7,556	10,564	13,322	15,899	16,116	9,938	12,636	5,450	8,752	9,099	20,716	55,900	87,332
Difference	n/a	n/a	6%	2%	-4%	-10%	-10%	-9%	n/a	n/a	n/a	n/a	n/a	2%	-8%	-8%
Dividend/share																
New	0	0	0	5,303	0	0	0	12,811	2,100	2,100	1,150	1,800	2,350	5,303	12,811	20,150
Old	0	0	0	5,386	0	0	0	15,093	2,100	2,100	1,150	1,800	2,350	5,386	15,093	24,453
Difference	n/a	n/a	nm	-2%	nm	nm	nm	-15%	n/a	n/a	n/a	n/a	n/a	-2%	-15%	-18%
Sales																
New	3,209	3,457	3,768	4,078	4,589	4,759	5,309	5,348	9,675	9,425	8,909	10,294	11,314	14,513	20,005	25,932
Old	3,209	3,457	3,736	4,097	4,684	4,957	5,540	5,550	9,675	9,425	8,909	10,294	11,314	14,499	20,731	26,607
Difference	n/a	n/a	1%	0%	-2%	-4%	-4%	-4%	n/a	n/a	n/a	n/a	n/a	0%	-4%	-3%
OP																
New	281	440	660	813	1,071	1,263	1,503	1,530	1,487	1,183	639	735	913	2,194	5,367	8,407
Old	281	440	625	797	1,109	1,395	1,661	1,684	1,487	1,183	639	735	913	2,143	5,849	9,104
Difference	n/a	n/a	6%	2%	-3%	-9%	-10%	-9%	n/a	n/a	n/a	n/a	n/a	2%	-8%	-8%
OP margin																
New	8.7%	12.7%	17.5%	19.9%	23.3%	26.5%	28.3%	28.6%	15.4%	12.6%	7.2%	7.1%	8.1%	15.1%	26.8%	32.4%
Old	8.7%	12.7%	16.7%	19.4%	23.7%	28.1%	30.0%	30.3%	15.4%	12.6%	7.2%	7.1%	8.1%	14.8%	28.2%	34.2%
Difference	n/a	n/a	0.8%	0.5%	-0.3%	-1.6%	-1.7%	-1.7%	n/a	n/a	n/a	n/a	n/a	0.3%	-1.4%	-1.8%
Pre-tax income																
New	316	433	657	810	1,068	1,260	1,500	1,527	1,491	1,187	543	797	896	2,217	5,355	8,395
Old	316	433	622	794	1,106	1,392	1,658	1,681	1,491	1,187	543	797	896	2,165	5,837	9,092
Difference	n/a	n/a	6%	2%	-3%	-9%	-10%	-9%	n/a	n/a	n/a	n/a	n/a	2%	-8%	-8%
Tax rate - effective																
New	20%	24%	25%	25%	25%	25%	25%	25%	38%	14%	17%	17%	18%	24%	25%	25%
Old	20%	24%	25%	25%	25%	25%	25%	25%	38%	14%	17%	17%	18%	24%	25%	25%
Difference	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
NP ex minority int																
New	249	316	483	598	791	935	1,115	1,135	771	981	423	679	706	1,646	3,977	6,255
Old	249	316	456	586	820	1,034	1,234	1,251	771	981	423	679	706	1,608	4,338	6,777
Difference	n/a	n/a	6%	2%	-4%	-10%	-10%	-9%	n/a	n/a	n/a	n/a	n/a	2%	-8%	-8%
ROE - annualized																
New	10%	13%	19%	22%	28%	31%	34%	33%	12%	14%	5%	8%	8%	16%	32%	38%
Old	10%	13%	18%	22%	29%	34%	37%	36%	12%	14%	5%	8%	8%	16%	35%	41%
Difference	n/a	n/a	1%	0%	-1%	-3%	-3%	-3%	n/a	n/a	n/a	n/a	n/a	0%	-3%	-3%
EBITDA																
New	514	687	912	1,073	1,341	1,543	1,795	1,830	2,332	2,035	1,452	1,549	1,817	3,185	6,508	9,695
Old	514	696	885	1,066	1,389	1,685	1,963	1,994	2,332	2,035	1,452	1,549	1,817	3,160	7,029	10,436
Difference	n/a	n/a	3%	1%	-3%	-8%	-9%	-8%	n/a	n/a	n/a	n/a	n/a	1%	-7%	-7%
Capex spend																
New	255	588	700	957	900	1,000	1,100	1,300	844	1,297	1,210	776	1,192	2,500	4,300	4,000
Old	255	600	600	745	900	650	700	850	844	1,297	1,210	776	1,192	2,200	2,800	2,500
Difference	n/a	n/a	17%	28%	0%	54%	57%	53%	n/a	n/a	n/a	n/a	n/a	14%	54%	60%
Net debt																
New	-629	-348	-425	191	262	293	15	642	-254	-322	-213	-477	-541	191	642	-607
Old	-629	-352	-127	211	-42	-477	-1,290	-859	-254	-322	-213	-477	-541	211	-859	-3,889
Difference	n/a	n/a	236%	-9%	-718%	-161%	-101%	-175%	n/a	n/a	n/a	n/a	n/a	-9%	-175%	-84%
BVPS - O/S shr based																
New	126,474	131,836	138,190	140,850	151,172	163,349	177,851	180,136	86,584	97,145	101,129	113,261	122,960	140,850	180,136	241,658
Old	126,474	132,048	138,059	140,485	151,177	164,628	180,656	182,205	86,584	97,145	101,129	113,261	122,960	140,485	182,205	246,270
Difference	n/a	n/a	0%	0%	0%	-1%	-2%	-1%	n/a	n/a	n/a	n/a	n/a	0%	-1%	-2%

Source: Company, BofA Global Research estimates

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Exhibit 6: Our 8% lower OP assumptions in 2027-28E are primarily components-centric; we turned slightly more conservative on the topline growth (down 5-7%) and margin assumptions (down 2ppt range); that said, we still expect robust record-high MLCC sales and margins in 2027-28E
SEMCO – Sales and OP breakdown revisions (2026-28E)

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
New estimates																
Sales																
Camera modules	1,076	1,036	984	1,004	1,125	1,012	1,032	981	3,224	3,204	3,289	3,797	3,814	4,100	4,150	4,372
Components	1,408	1,649	1,850	2,029	2,387	2,616	3,021	3,050	4,772	4,132	3,903	4,462	5,199	6,937	11,074	15,785
Semis substrates	725	772	934	1,046	1,077	1,131	1,255	1,318	1,679	2,088	1,717	2,035	2,302	3,476	4,781	5,775
Total	**3,209**	**3,457**	**3,768**	**4,078**	**4,589**	**4,759**	**5,309**	**5,348**	**9,675**	**9,425**	**8,909**	**10,294**	**11,314**	**14,513**	**20,005**	**25,932**
Operating profit																
Camera modules	60	61	34	25	51	40	29	20	161	110	101	138	169	180	140	153
Components	165	274	419	526	730	884	1,079	1,089	1,064	608	362	440	609	1,384	3,781	6,351
Semis substrates	55	105	208	261	291	338	396	422	262	465	177	158	135	630	1,447	1,904
Total OP	**281**	**440**	**660**	**813**	**1,071**	**1,263**	**1,503**	**1,530**	**1,487**	**1,183**	**639**	**735**	**913**	**2,194**	**5,367**	**8,407**
OPM (%)																
Camera modules	5.6%	5.9%	3.4%	2.5%	4.5%	4.0%	2.8%	2.0%	5.0%	3.4%	3.1%	3.6%	4.4%	4.4%	3.4%	3.5%
Components	11.7%	16.6%	22.6%	25.9%	30.6%	33.8%	35.7%	35.7%	22.3%	14.7%	9.3%	9.9%	11.7%	19.9%	34.1%	40.2%
Semis substrates	7.6%	13.6%	22.3%	25.0%	27.0%	29.9%	31.6%	32.0%	15.6%	22.2%	10.3%	7.7%	5.9%	18.1%	30.3%	33.0%
Total OPM	**8.7%**	**12.7%**	**17.5%**	**19.9%**	**23.3%**	**26.5%**	**28.3%**	**28.6%**	**15.4%**	**12.6%**	**7.2%**	**7.1%**	**8.1%**	**15.1%**	**26.8%**	**32.4%**
Old estimates																
Sales																
Camera modules	1,076	1,036	984	1,004	1,125	1,012	1,032	981	3,224	3,204	3,289	3,797	3,814	4,100	4,150	4,372
Components	1,408	1,649	1,825	2,074	2,510	2,844	3,284	3,286	4,772	4,132	3,903	4,462	5,199	6,958	11,924	16,609
Semis substrates	725	772	926	1,019	1,049	1,102	1,223	1,284	1,679	2,088	1,717	2,035	2,302	3,441	4,657	5,625
Total	**3,209**	**3,457**	**3,736**	**4,097**	**4,684**	**4,957**	**5,540**	**5,550**	**9,675**	**9,425**	**8,909**	**10,294**	**11,314**	**14,499**	**20,731**	**26,607**
Operating profit																
Camera modules	60	51	29	25	51	40	29	20	161	110	101	138	169	165	140	153
Components	165	279	393	517	775	1,022	1,240	1,240	1,064	608	362	440	609	1,354	4,278	7,038
Semis substrates	55	110	204	255	283	333	392	424	262	465	177	158	135	624	1,432	1,913
Total OP	**281**	**440**	**625**	**797**	**1,109**	**1,395**	**1,661**	**1,684**	**1,487**	**1,183**	**639**	**735**	**913**	**2,143**	**5,849**	**9,104**
OPM (%)																
Camera modules	5.6%	4.9%	2.9%	2.5%	4.5%	4.0%	2.8%	2.0%	5.0%	3.4%	3.1%	3.6%	4.4%	4.0%	3.4%	3.5%
Components	11.7%	16.9%	21.5%	24.9%	30.9%	35.9%	37.8%	37.8%	22.3%	14.7%	9.3%	9.9%	11.7%	19.5%	35.9%	42.4%
Semis substrates	7.6%	14.3%	22.0%	25.0%	27.0%	30.2%	32.1%	33.0%	15.6%	22.2%	10.3%	7.7%	5.9%	18.1%	30.7%	34.0%
Total OPM	**8.7%**	**12.7%**	**16.7%**	**19.4%**	**23.7%**	**28.1%**	**30.0%**	**30.3%**	**15.4%**	**12.6%**	**7.2%**	**7.1%**	**8.1%**	**14.8%**	**28.2%**	**34.2%**
Difference (%)																
Sales																
Camera modules	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Components	n/a	n/a	1%	-2%	-5%	-8%	-8%	-7%	n/a	n/a	n/a	n/a	n/a	0%	-7%	-5%
Semis substrates	n/a	n/a	1%	3%	3%	3%	3%	3%	n/a	n/a	n/a	n/a	n/a	1%	3%	3%
Total	**n/a**	**n/a**	**1%**	**0%**	**-2%**	**-4%**	**-4%**	**-4%**	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**0%**	**-4%**	**-3%**
Operating profit																
Camera modules	n/a	n/a	18%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	9%	0%	0%
Components	n/a	n/a	7%	2%	-6%	-13%	-13%	-12%	n/a	n/a	n/a	n/a	n/a	2%	-12%	-10%
Semis substrates	n/a	n/a	2%	3%	3%	2%	1%	0%	n/a	n/a	n/a	n/a	n/a	1%	1%	0%
Total OP	**n/a**	**n/a**	**6%**	**2%**	**-3%**	**-9%**	**-10%**	**-9%**	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**2%**	**-8%**	**-8%**
OPM (%)																
Camera modules	n/a	n/a	0.5%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a	n/a	n/a	n/a	0.4%	0.0%	0.0%
Components	n/a	n/a	1.1%	1.0%	-0.3%	-2.1%	-2.1%	-2.1%	n/a	n/a	n/a	n/a	n/a	0.5%	-1.7%	-2.1%
Semis substrates	n/a	n/a	0.3%	0.0%	0.0%	-0.3%	-0.6%	-1.0%	n/a	n/a	n/a	n/a	n/a	0.0%	-0.5%	-1.0%
Total OPM	**n/a**	**n/a**	**0.8%**	**0.5%**	**-0.3%**	**-1.6%**	**-1.7%**	**-1.7%**	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**0.3%**	**-1.4%**	**-1.8%**

Source: Company, BofA Global Research estimates

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Exhibit 7: Our lower 2027-28E sales estimates (down 5-7%) still presents record-high OP in 2027-28E (W3.8/6.4tn)
SEMCO – Components revisions – mostly MLCC (2026-28E)

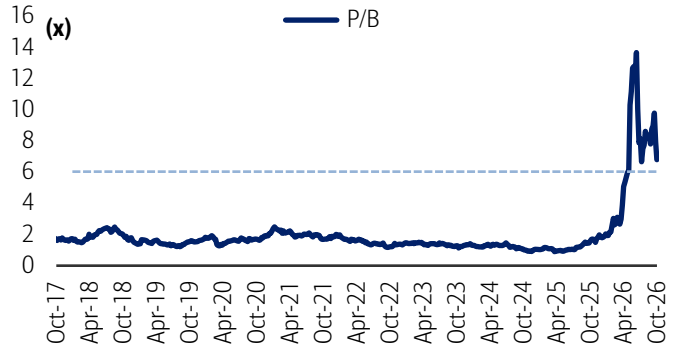
(Wbn, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales Wbn																
New	1,282	1,517	1,723	1,893	2,257	2,478	2,887	2,907	4,772	4,132	3,903	4,462	5,199	6,937	11,074	15,785
Old	1,282	1,517	1,698	1,939	2,379	2,706	3,151	3,143	4,772	4,132	3,903	4,462	5,199	6,958	11,924	16,609
Difference	n/a	n/a	1%	-2%	-5%	-8%	-8%	-8%	n/a	n/a	n/a	n/a	n/a	0%	-7%	-5%
OP Wbn																
New	151	258	400	502	703	855	1,049	1,057	1,064	608	362	440	609	1,384	3,781	6,351
Old	151	264	374	493	749	993	1,211	1,209	1,064	608	362	440	609	1,354	4,278	7,038
Difference	n/a	n/a	7%	2%	-6%	-14%	-13%	-13%	n/a	n/a	n/a	n/a	n/a	2%	-12%	-10%
OP margin (%)																
New	11.8%	17.0%	23.2%	26.5%	31.2%	34.5%	36.3%	36.4%	22%	14.7%	9.3%	9.9%	11.7%	19.9%	34.1%	40.2%
Old	11.8%	17.4%	22.0%	25.4%	31.5%	36.7%	38.4%	38.5%	22.3%	14.7%	9.3%	9.9%	11.7%	19.5%	35.9%	42.4%
Difference %pt	n/a	n/a	1.2%	1.1%	-0.3%	-2.2%	-2.1%	-2.1%	n/a	n/a	n/a	n/a	n/a	0.5%	-1.7%	-2.1%
Shipments bn																
New	244	266	289	310	345	356	395	386	1,017	736	853	959	1,095	1,200	1,560	1,889
Old	244	266	288	310	346	358	397	388	1,017	736	853	959	1,095	1,200	1,560	1,889
Difference	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
ASP US$/k																
New	3.6	3.8	4.2	4.6	5.0	5.4	5.6	5.8	4.1	4.4	3.5	3.4	3.3	4.1	5.5	6.4
Old	3.6	3.8	4.1	4.5	4.9	5.4	5.7	5.8	4.1	4.4	3.5	3.4	3.3	4.0	5.5	6.5
Difference US$	n/a	n/a	2%	4%	2%	-1%	-1%	-1%	n/a	n/a	n/a	n/a	n/a	2%	0%	-1%
ASP change (QoQ/YoY)																
New	3%	6%	11%	10%	8%	7%	5%	3%	13%	7%	-20%	-3%	-2%	22%	34%	18%
Old	3%	6%	9%	8%	10%	10%	5%	3%	13%	7%	-20%	-3%	-2%	20%	36%	19%
Difference %pt	n/a	n/a	2%	2%	-2%	-3%	0%	0%	n/a	n/a	n/a	n/a	n/a	2%	-3%	-1%
Cost US$/k																
New	3.2	3.1	3.2	3.4	3.4	3.5	3.6	3.7	3.2	3.7	3.2	3.1	2.9	3.3	3.6	3.8
Old	3.2	3.1	3.2	3.3	3.4	3.4	3.5	3.6	3.2	3.7	3.2	3.1	2.9	3.2	3.5	3.7
Difference US$	n/a	n/a	0%	2%	2%	2%	2%	2%	n/a	n/a	n/a	n/a	n/a	1%	2%	3%
Cost change (QoQ/YoY)																
New	2%	0%	3%	5%	1%	2%	2%	3%	4%	18%	-15%	-3%	-4%	11%	10%	7%
Old	2%	-1%	3%	3%	1%	2%	2%	3%	4%	18%	-15%	-3%	-4%	10%	8%	7%
Difference %pt	n/a	n/a	0%	2%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	1%	1%	0%
Capa bn/month																
New	105	109	115	122	131	139	145	149	114	104	105	103	113	124	151	170
Old	105	109	115	122	131	139	146	149	114	104	105	103	113	124	151	170
Difference	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Utilization (%)																
New	90%	95%	97%	98%	97%	98%	98%	98%	89%	58%	70%	81%	90%	93%	96%	97%
Old	90%	95%	97%	98%	97%	98%	98%	98%	89%	58%	70%	81%	90%	93%	96%	97%
Difference %pt	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%

Source: Company, BofA Global Research estimates

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Robust 2H26-27 outlook, even stronger than 2021 upturn

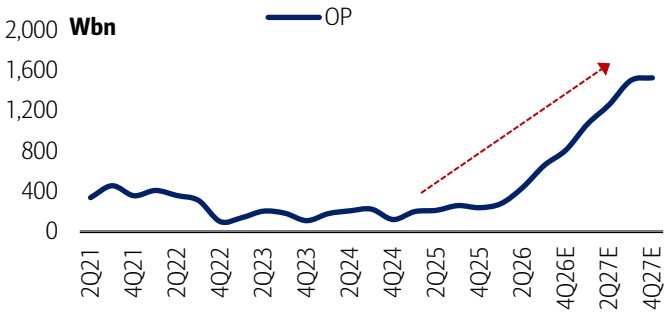
Exhibit 8: Currently trading at 7x vs our implied 2027-28E target of 10x
SEMCO – 12-month forward P/B



Source: Company, BofA Global Research estimates

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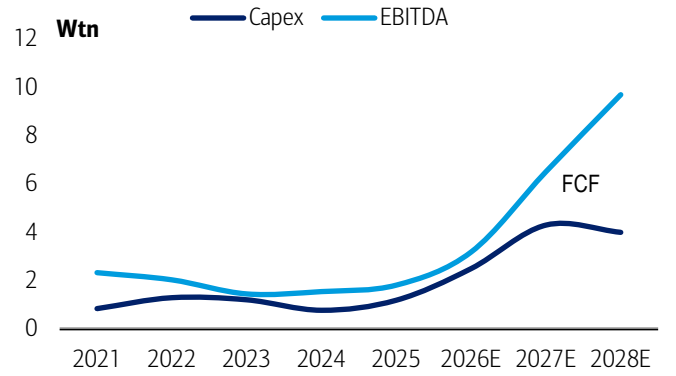
Exhibit 9: OP recovery (2026-27E) mostly based on MLCC/substrate margin rebound, surpassing previous upturn level (2021-22)
SEMCO – Quarterly OP trend



Source: Company, BofA Global Research estimates

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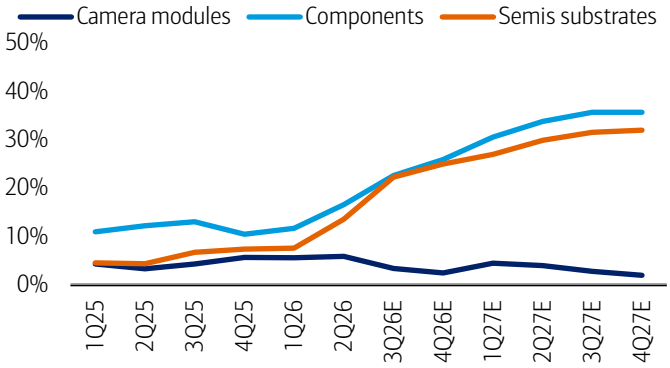
Exhibit 10: Robust FCF generation well-expected in 2026-28E; disciplined capex assumed
SEMCO – SEMCO – EBITDA vs Capex



Source: Company, BofA Global Research estimates

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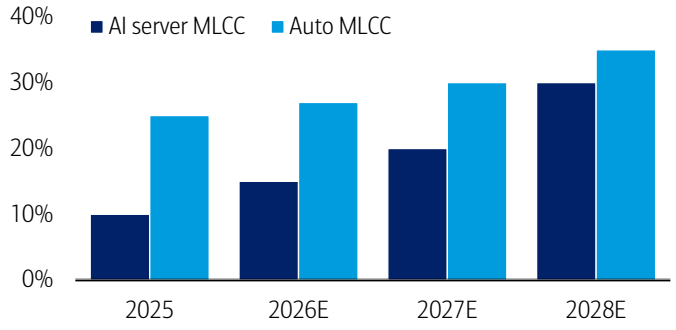
Exhibit 11: Steady enhancement in margins led by components (mostly MLCC) and semis substrates vs erosion assumed for camera modules
SEMCO – OP margin by business



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

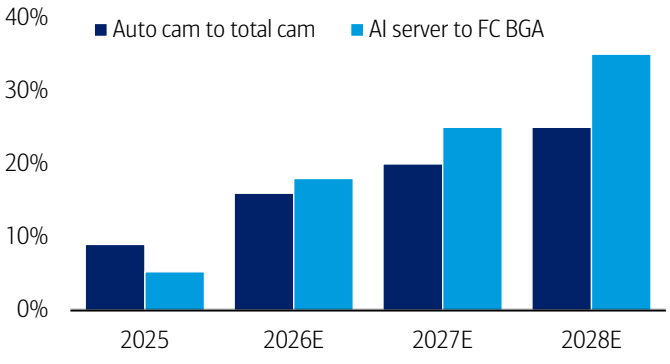
Exhibit 12: SEMCO: AI server still 10% range of total MLCC sales but it can be 20-30% in 2027-28 (after 15% in 2026), while auto MLCC also grows strongly (30%+ of 2027-28 MLCC sales possible)
MLCC sales mix trend - AI server and auto lead multiple-year growth



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

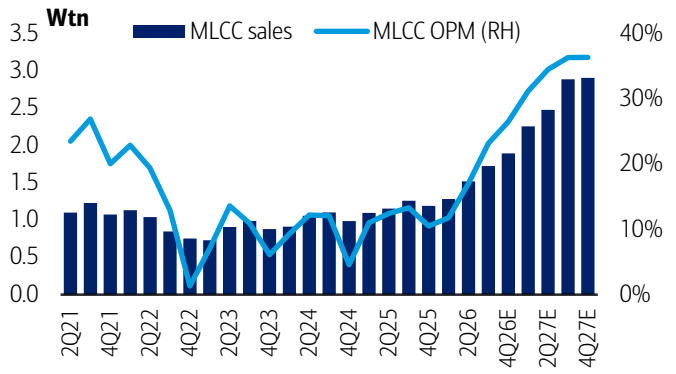
Exhibit 13: Auto camera and AI server FC BGA lead top-line growth
SEMCO: sales mix of auto camera (vs total cam) and AI server substrate (vs FC BGA total)



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

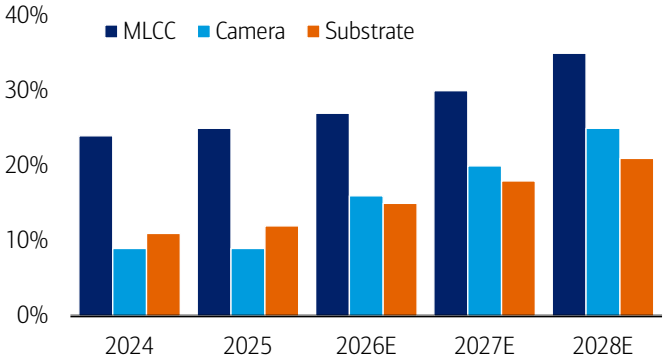
Exhibit 14: MLCC sales to steadily grow in 2026-27; OP margin likely to improve continuously (20-34%) post 2023 bottom
SEMCO – MLCC sales and OP margin trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

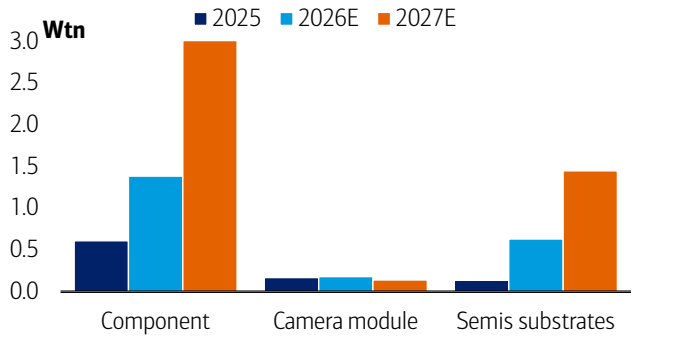
Exhibit 15: Majority of auto sales derived from MLCC, followed by camera and semis substrate
SEMCO – Auto sales exposure by product



Source: Company, BofA Global Research estimates

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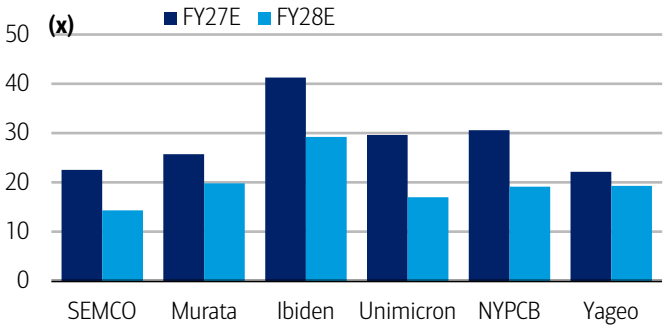
Exhibit 16: Components (mostly MLCC) still the largest contributor
SEMCO – OP by business



Source: Company, BofA Global Research estimates

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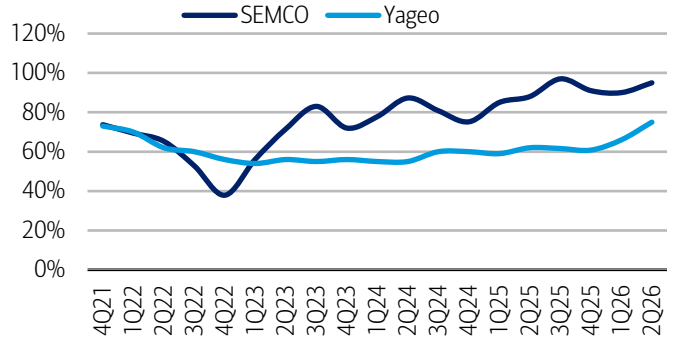
Exhibit 17: SEMCO's P/E lower than Japan/Taiwan peers
MLCC/substrate stocks – FY27-28E P/E comparison



Source: Companies, BofA Global Research estimates

BofA GLOBAL RESEARCH

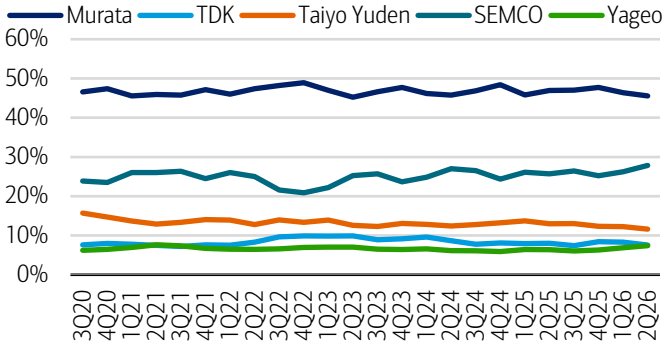
Exhibit 18: Steady utilization rate recovery observed for both SEMCO and Yageo in 1H26
MLCC utilization comparison



Source: Companies, BofA Global Research estimates

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Exhibit 19: SEMCO ranked #2 with high-20% market share as of 2Q26, followed by Murata (~50%)
MLCC market share by company

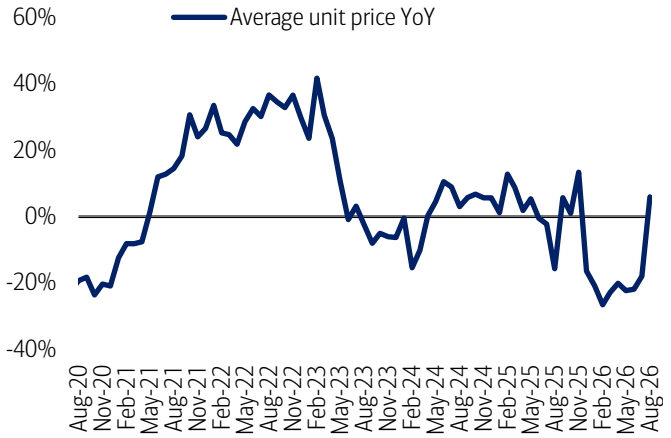


Source: Companies, BofA Global Research estimates

BofA GLOBAL RESEARCH

2026-27 MLCC rebound led by strong AI demand

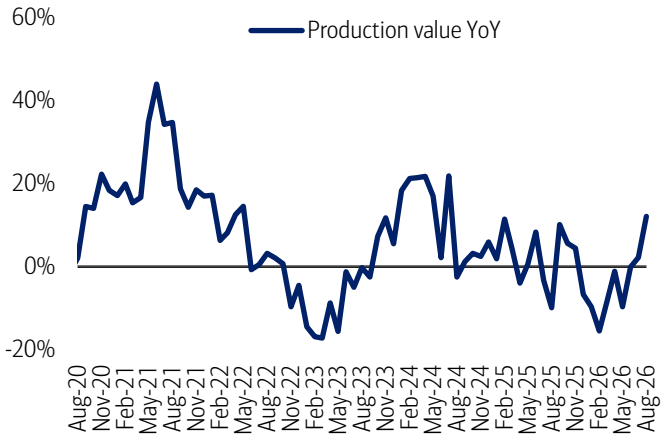
Exhibit 20: First YoY turnaround in Aug (+6%) after eight consecutive months of negative growth (Dec-Jul)
Japan MLCC monthly price YoY



Source: METI, BofA Global Research

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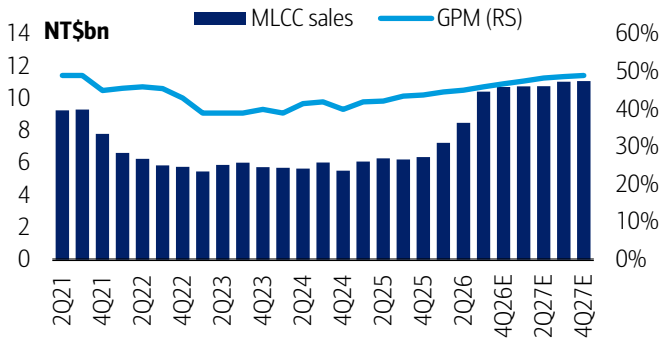
Exhibit 21: Steady improvement in Jul/Aug (+2%/12%) after continuous decline during Dec-Jun
Japan MLCC production value YoY



Source: METI, BofA Global Research

BofA GLOBAL RESEARCH

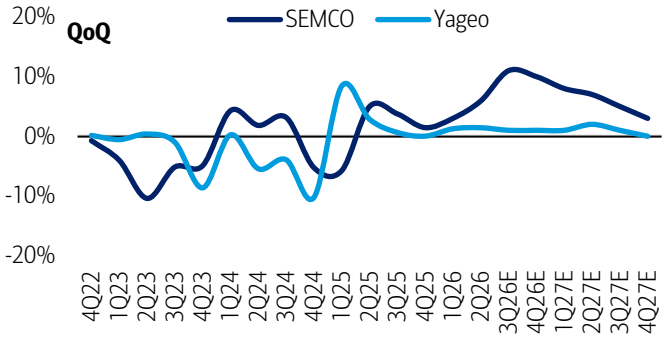
Exhibit 22: Yageo's MLCC sales strongly recovered in 1H26, with improving gross profit margin at 40%+
Yageo – MLCC sales and gross profit margin trend



Source: Company, BofA Global Research estimates

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Exhibit 23: We expect solid MLCC ASP growth for SEMCO in 2H26 (up low-teen%) and 1H27 (up high-single%) vs Yageo only low-single%
MLCC ASP comparison – QoQ change



Source: Companies, BofA Global Research estimates

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Valuation

Exhibit 24: Our PO of W2.0mn is derived from 32x 2027-28E P/E (vs old PO W2.4mn based on 35x EPS)

Valuation multiples at current price and PO

(x)	2024	2025	2026E	2027E	2028E	'27-28 avg
Current shr price						
P/E	**134.1**	**129.0**	**55.3**	**22.9**	**14.6**	**18.7**
P/B	10.4	9.5	8.3	6.5	4.9	5.7
EV/EBITDA	57.0	48.6	27.7	13.6	9.1	11.3
EV/Sales	8.6	7.8	6.1	4.4	3.4	3.9
PO based						
P/E	**228.5**	**219.8**	**94.3**	**39.0**	**24.8**	**31.9**
P/B	17.7	16.3	14.2	11.1	8.3	9.7
EV/EBITDA	97.4	83.0	47.4	23.2	15.6	19.4
EV/Sales	6.4	5.8	4.6	3.3	2.5	2.9

Source: Company, BofA Global Research estimates

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Exhibit 25: SEMCO's 2027-28E P/E lower than MLCC peers despite much higher ROE and OP margin

Global MLCC and semis substrate valuation comparison (FY26-28E)

Company	Ticker	Rating	Price	M.cap	P/E			P/BV			EV/EBITDA			ROE		Div Yield		Sales YoY		OP margin	
			Local	US$bn	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E
SEMCO	**009150 KS**	**BUY**	**1,155,000**	**65.7**	**54.5**	**22.5**	**14.3**	**7.9**	**6.2**	**4.6**	**27.5**	**13.5**	**9.0**	**32%**	**38%**	**1.1%**	**1.7%**	**38%**	**30%**	**26.8%**	**32.4%**
MLCC																					
Murata	6981 JP	BUY	6,756	84.0	36.3	25.7	19.8	4.6	4.3	3.9	19.9	14.8	11.8	19%	22%	1.1%	1.1%	16%	18%	26.5%	29.3%
TDK	6762 JP	BUY	2,903	35.7	20.2	18.5	16.2	2.4	2.2	2.0	9.4	8.5	7.7	13%	13%	1.7%	2.1%	6%	9%	12.2%	12.7%
Yageo	2327 TT	BUY	542	34.2	28.6	22.1	19.3	5.8	5.1	4.5	19.5	15.6	13.6	25%	25%	2.3%	2.6%	20%	12%	28.7%	29.7%
Taiyo Yuden	6976 JP	UNDERPERFORM	9,253	8.1	52.8	31.0	22.1	3.3	3.2	2.9	13.9	10.6	8.5	12%	16%	1.0%	1.1%	13%	15%	13.6%	16.3%
MLCC average					**34.5**	**24.4**	**19.4**	**4.0**	**3.7**	**3.3**	**15.7**	**12.4**	**10.4**	**17%**	**19%**	**1.5%**	**1.7%**	**14%**	**14%**	**20.3%**	**22.0%**
Semis substrate																					
Unimicron	3037 TT	BUY	1,100	55.3	51.9	29.6	17.0	13.1	10.0	7.1	32.5	16.8	10.5	37%	48%	1.7%	2.9%	44%	42%	29.4%	36.2%
Ibiden	4062 JP	BUY	9,500	34.1	59.5	41.3	29.2	8.4	7.0	5.7	23.5	17.0	12.6	20%	23%	0.2%	0.3%	23%	27%	28.2%	31.3%
NYPCB	8046 TT	BUY	1,340	26.5	72.7	30.6	19.1	15.3	11.2	8.0	43.6	21.7	14.4	42%	49%	1.7%	2.4%	53%	34%	37.7%	44.9%
Kinsus	3189 TT	BUY	1,010	16.3	95.2	37.0	19.6	11.2	9.6	7.6	37.2	20.7	13.5	28%	43%	1.2%	2.3%	50%	40%	22.2%	28.5%
LG Innotek	011070 KS	BUY	407,000	7.2	12.8	7.5	5.6	1.5	1.3	1.1	5.3	3.7	3.1	18%	21%	1.7%	2.3%	13%	14%	6.0%	6.9%
Substrate average					**58.4**	**29.2**	**18.1**	**9.9**	**7.8**	**5.9**	**28.4**	**16.0**	**10.8**	**29%**	**37%**	**1.3%**	**2.0%**	**37%**	**32%**	**24.7%**	**29.6%**

Source: Companies, BofA Global Research estimates. Mcap = market capitalization. ROE = return on equity. Div = dividend, OP = operating profit.

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Exhibit 26: P/B was in the range of 1-2x in 2015-25 (year-average basis: 1.5x)

SEMCO – Historical valuation at year-high/mid-/low share prices

multiples x	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2015-25 Avg
Yr-avg shr price															
P/E	14.8	14.4	9.3	442.8	277.0	40.7	14.7	15.6	17.1	18.4	11.6	26.6	16.1	19.6	17.5
P/B	**2.0**	**1.6**	**1.0**	**1.2**	**1.0**	**1.6**	**2.0**	**1.5**	**1.8**	**2.1**	**1.5**	**1.4**	**1.2**	**1.4**	**1.5**
EV/EBITDA	7.5	6.9	7.3	6.8	8.3	8.9	6.0	5.6	6.2	5.7	5.2	7.3	6.5	6.5	6.6
EV/Sales	1.0	0.9	0.7	0.9	0.9	1.2	1.3	1.1	1.2	1.4	1.1	1.2	1.0	1.0	1.1
Yr-high shr price															
P/E	16.6	16.6	11.4	567.3	325.0	53.7	19.3	18.9	22.9	21.8	15.4	29.0	19.7	32.9	22.5
P/B	**2.2**	**1.9**	**1.3**	**1.5**	**1.1**	**2.1**	**2.6**	**1.8**	**2.4**	**2.5**	**2.0**	**1.6**	**1.5**	**2.3**	**2.0**
EV/EBITDA	8.4	7.8	8.8	8.4	9.4	11.1	7.6	6.6	8.2	6.8	7.0	8.0	8.0	11.1	8.4
EV/Sales	1.2	1.0	0.8	1.1	1.0	1.5	1.6	1.3	1.7	1.6	1.5	1.3	1.2	1.8	1.4
Yr-low shr price															
P/E	11.7	11.8	6.2	344.4	239.3	24.2	10.5	12.8	11.0	15.6	8.9	22.6	12.1	13.1	13.3
P/B	**1.5**	**1.3**	**0.7**	**0.9**	**0.8**	**0.9**	**1.4**	**1.2**	**1.2**	**1.8**	**1.2**	**1.2**	**0.9**	**0.9**	**1.1**
EV/EBITDA	6.2	5.8	5.0	5.5	7.5	6.2	4.5	4.7	4.1	4.9	4.0	6.2	4.8	4.2	5.1
EV/Sales	0.9	0.8	0.5	0.7	0.8	0.8	1.0	0.9	0.8	1.2	0.9	1.0	0.7	0.7	0.9

Source: Company, BofA Global Research

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Exhibit 27: 9.5% WACC, 4.5% perpetual growth, OPM 26%+, and 20x EV/EBITDA (for terminal value) assumed

SEMCO – Cross-checked discounted cash flow (DCF) valuation

Wbn	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Sales	10,294	11,314	14,513	20,005	25,932	30,548	35,130	38,643
Sales growth	16%	10%	28%	38%	30%	18%	15%	10%
OP	735	913	2,194	5,367	8,407	9,164	9,836	10,237
OPM	7.1%	8.1%	15.1%	26.8%	32.4%	30.0%	28.0%	26.5%
EBITDA	1,549	1,817	3,185	6,508	9,695	10,264	11,036	11,437
Dep/amort	814	903	991	1,141	1,287	1,100	1,200	1,200
Capex	776	1,192	2,500	4,300	4,000	1,600	1,500	1,500
Tax	135	164	536	1,339	2,099	2,291	2,459	2,559
Net WC	2,358	2,548	2,955	3,262	4,043	4,124	4,206	4,290
NWC chg	479	191	406	307	781	81	82	84
FCF	159	270	-257	562	2,815	6,292	6,995	7,293
Discount		1.00	0.91	0.83	0.76	0.70	0.64	0.58
PV of 2026-31E FCF		**15,436**	-234	469	2,145	4,378	4,445	4,233
PV of 2031E TV		138,738						
4.5% growth								n/a
20x EV/EBITDA		138,738						239,025
Biz value		**154,175**						
Net debt (end-2025)		-541						
Investments		566						
Firm's total FV		155,282						
Per share FV (W)		**2,001,035**						
PO (W)		**2,000,000**						
PO vs FV		0%						
Stock upside		70%						
Share price (W)		1,174,000						
Shrs (mn)		77.60						

Source: Company, BofA Global Research estimates

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Exhibit 29: Mostly based on MLCC business value; fair value is also close to the PO (W2,000,000)

SEMCO – Cross-checked sum-of-the-parts (SOTP) valuation

	FV/shr Won	EV total Wbn	EV/Sales x	EV/EBIT x	L-T Sales Wbn	L-T EBIT Wbn
Business value						
Camera module	38,659	3,000	0.6	15.0	5,000	200
MLCC	**902,054**	**70,000**	**4.7**	**18.7**	15,000	3,750
Semis substrates	1,024,476	79,500	11.4	37.9	7,000	2,100
Others	5,155	400	0.8	5.3	500	75
Bizes total	**1,970,344**	**152,900**	**5.6**	**25.0**	**27,500**	**6,125**
Shrs (mn)	78					
Net debt	-12,886	-1,000				
Investments	5,928	460				
EV total	1,989,158	154,360				
FV ex debt	**2,002,044**	**155,360**				
PO	**2,000,000**					
PO vs FV	0%					
Stock upside	70%					
Share price	1,174,000					

Source: Company, BofA Global Research estimates

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Earnings outlook in 2026-28E

Exhibit 28: We expect steady recovery in 2026-28E on the back of ASP strength, shipment increase, and mix improvement; OP margin likely to improve to 34-40% in 2027-28E, which is even higher than 2018/21 peak level (30%+/20%+)
SEMCO – Key assumptions for components most of which are MLCC

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Components - mostly MLCC																
Capacity bn units/month	116	121	127	133	143	150	154	157	114	104	105	103	113	124	151	170
Production bn units/month	104	113	120	128	134	143	149	153	102	60	73	83	101	116	145	165
UTR - production to capacity	90%	95%	97%	98%	97%	98%	98%	98%	89%	58%	70%	81%	90%	93%	96%	97%
Sales volume bn units	268	290	310	332	365	376	414	405	1,017	736	853	959	1,095	1,200	1,560	1,889
Sales to production ratio	86%	86%	86%	87%	91%	87%	92%	88%	83%	102%	97%	96%	90%	86%	90%	96%
FX yr-avg (W/US$)	1,467	1,502	1,418	1,320	1,308	1,300	1,300	1,300	1,144	1,292	1,307	1,365	1,423	1,427	1,302	1,300
Sales Wbn	**1,408**	**1,649**	**1,850**	**2,029**	**2,387**	**2,616**	**3,021**	**3,050**	**4,772**	**4,132**	**3,903**	**4,462**	**5,199**	**6,937**	**11,074**	**15,785**
US$mn equiv sales	960	1,098	1,304	1,537	1,826	2,012	2,324	2,346	4,170	3,230	2,984	3,270	3,657	4,900	8,508	12,142
ASP US$/k units	**3.6**	**3.8**	**4.2**	**4.6**	**5.0**	**5.4**	**5.6**	**5.8**	**4.1**	**4.4**	**3.5**	**3.4**	**3.3**	**4.1**	**5.5**	**6.4**
Cost US$/k units	3.2	3.2	3.3	3.4	3.5	3.5	3.6	3.7	3.2	3.7	3.2	3.1	2.9	3.3	3.6	3.8
OP margin	**12%**	**17%**	**23%**	**26%**	**31%**	**34%**	**36%**	**36%**	**22%**	**15%**	**9%**	**10%**	**12%**	**20%**	**34%**	**40%**
OP Wbn	**165**	**274**	**419**	**526**	**730**	**884**	**1,079**	**1,089**	**1,064**	**608**	**362**	**440**	**609**	**1,384**	**3,781**	**6,351**
MLCC only																
Capacity bn units/month	105	109	115	122	131	139	145	149	106	94	94	94	102	115	144	164
Production bn units/month	95	104	112	119	127	136	142	146	94	55	66	76	92	107	138	159
UTR - production to capacity	90%	95%	97%	98%	97%	98%	98%	98%	89%	58%	70%	81%	90%	93%	96%	97%
Sales volume bn units	244	266	289	310	345	356	395	386	941	670	765	871	989	1,109	1,483	1,820
Sales Wbn	**1,282**	**1,517**	**1,723**	**1,893**	**2,257**	**2,478**	**2,887**	**2,907**	**4,414**	**3,764**	**3,496**	**4,052**	**4,692**	**6,415**	**10,530**	**15,214**
US$mn equiv sales	874	1,010	1,215	1,434	1,726	1,907	2,221	2,236	3,857	2,915	2,676	2,969	3,297	4,496	8,088	11,703
OP Wbn	**151**	**258**	**400**	**502**	**703**	**855**	**1,049**	**1,057**	**1,030**	**579**	**336**	**391**	**555**	**1,310**	**3,665**	**6,219**
OP margin	**12%**	**17%**	**23%**	**27%**	**31%**	**35%**	**36%**	**36%**	**23%**	**15%**	**10%**	**10%**	**12%**	**20%**	**35%**	**41%**
ASP US$/k units	3.6	3.8	4.2	4.6	5.0	5.4	5.6	5.8	4.1	4.4	3.5	3.4	3.3	4.1	5.5	6.4
Cost US$/k units	3.2	3.1	3.2	3.4	3.4	3.5	3.6	3.7	3.1	3.7	3.2	3.1	2.9	3.2	3.6	3.8
QoQ for MLCC only																
Capacity bn units/month	2%	4%	6%	5%	7%	6%	5%	2%								
Production bn units/month	1%	9%	8%	6%	6%	7%	5%	2%								
Sales volume bn units	4%	9%	8%	7%	11%	3%	11%	-2%								
Sales Wbn	8%	18%	14%	10%	19%	10%	16%	1%								
ASP US$/k units	3%	6%	11%	10%	8%	7%	5%	3%								
Cost US$/k units	2%	0%	3%	5%	1%	2%	2%	3%								
YoY for MLCC																
Capacity bn units/month	7%	8%	12%	18%	24%	27%	26%	22%	27%	-10%	-1%	0%	9%	13%	25%	14%
Production bn units/month	13%	17%	12%	27%	34%	31%	27%	22%	23%	-42%	20%	15%	21%	17%	28%	15%
Sales volume bn units	2%	7%	9%	32%	41%	34%	37%	25%	21%	-29%	14%	14%	14%	12%	34%	23%
Sales Wbn	17%	32%	37%	59%	76%	63%	68%	54%	33%	-15%	-7%	16%	16%	37%	64%	44%
US$mn equiv sales	16%	23%	34%	75%	98%	89%	83%	56%	37%	-24%	-8%	11%	11%	36%	80%	45%
OP Wbn	26%	80%	139%	303%	366%	231%	163%	111%	94%	-44%	-42%	16%	42%	136%	180%	70%
ASP US$/k units	14%	15%	23%	33%	40%	41%	33%	25%	13%	7%	-20%	-3%	-2%	22%	34%	18%
Cost US$/k units	13%	9%	9%	9%	9%	11%	11%	8%	3%	18%	-15%	-3%	-4%	10%	9%	7%

Source: Company, BofA Global Research estimates

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Exhibit 29: Strong 2026-28E sales and margins are mostly led by components (MLCC) and semis substrate vs camera module (relatively lower growth/margin)
SEMCO – Sales and OP breakdown

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales																
Camera modules	1,076	1,036	984	1,004	1,125	1,012	1,032	981	3,224	3,204	3,289	3,797	3,814	4,100	4,150	4,372
Components	1,408	1,649	1,850	2,029	2,387	2,616	3,021	3,050	4,772	4,132	3,903	4,462	5,199	6,937	11,074	15,785
Semis substrates	725	772	934	1,046	1,077	1,131	1,255	1,318	1,679	2,088	1,717	2,035	2,302	3,476	4,781	5,775
Total	**3,209**	**3,457**	**3,768**	**4,078**	**4,589**	**4,759**	**5,309**	**5,348**	**9,675**	**9,425**	**8,909**	**10,294**	**11,314**	**14,513**	**20,005**	**25,932**
Sales growth YoY																
Camera modules	5.1%	10.3%	7.6%	7.1%	4.5%	-2.3%	4.9%	-2.3%	15.0%	-0.6%	2.7%	15.5%	0.4%	7.5%	1.2%	5.4%
Components	15.8%	28.8%	33.9%	53.6%	69.5%	58.6%	63.3%	50.3%	30.9%	-13.4%	-5.5%	14.3%	16.5%	33.4%	59.6%	42.5%
Semis substrates	45.2%	36.7%	57.4%	62.2%	48.6%	46.6%	34.5%	26.0%	-4.7%	24.4%	-17.8%	18.5%	13.1%	51.0%	37.6%	20.8%
Total	**17.2%**	**24.2%**	**30.4%**	**40.5%**	**43.0%**	**37.6%**	**40.9%**	**31.1%**	**17.9%**	**-2.6%**	**-5.5%**	**15.5%**	**9.9%**	**28.3%**	**37.8%**	**29.6%**
Sales growth QoQ																
Camera modules	14.8%	-3.7%	-5.0%	2.0%	12.0%	-10.0%	2.0%	-5.0%								
Components	6.7%	17.1%	12.2%	9.6%	17.7%	9.6%	15.5%	0.9%								
Semis substrates	12.5%	6.4%	21.0%	12.0%	3.0%	5.0%	11.0%	5.0%								
Total	**10.6%**	**7.7%**	**9.0%**	**8.2%**	**12.5%**	**3.7%**	**11.6%**	**0.7%**								
Operating profit																
Camera modules	60	61	34	25	51	40	29	20	161	110	101	138	169	180	140	153
Components	165	274	419	526	730	884	1,079	1,089	1,064	608	362	440	609	1,384	3,781	6,351
Semis substrates	55	105	208	261	291	338	396	422	262	465	177	158	135	630	1,447	1,904
Total OP	**281**	**440**	**660**	**813**	**1,071**	**1,263**	**1,503**	**1,530**	**1,487**	**1,183**	**639**	**735**	**913**	**2,194**	**5,367**	**8,407**
OPM (%)																
Camera modules	5.6%	5.9%	3.4%	2.5%	4.5%	4.0%	2.8%	2.0%	5.0%	3.4%	3.1%	3.6%	4.4%	4.4%	3.4%	3.5%
Components	11.7%	16.6%	22.6%	25.9%	30.6%	33.8%	35.7%	35.7%	22.3%	14.7%	9.3%	9.9%	11.7%	19.9%	34.1%	40.2%
Semis substrates	7.6%	13.6%	22.3%	25.0%	27.0%	29.9%	31.6%	32.0%	15.6%	22.2%	10.3%	7.7%	5.9%	18.1%	30.3%	33.0%
Total	**8.7%**	**12.7%**	**17.5%**	**19.9%**	**23.3%**	**26.5%**	**28.3%**	**28.6%**	**15.4%**	**12.6%**	**7.2%**	**7.1%**	**8.1%**	**15.1%**	**26.8%**	**32.4%**

Source: Company, BofA Global Research estimates

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Exhibit 30: We expect robust topline growth in 2026-28E (up 30% range pa) with strongly improving margins (OPM 15-32%) and ROE (16-38%), far surpassing 2021 upturn level
SEMCO – Income statement

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Total sales	**3,209**	**3,457**	**3,768**	**4,078**	**4,589**	**4,759**	**5,309**	**5,348**	**9,675**	**9,425**	**8,909**	**10,294**	**11,314**	**14,513**	**20,005**	**25,932**
Cost of sales	2,549	2,613	2,693	2,841	3,108	3,071	3,370	3,372	7,127	7,161	7,189	8,335	9,037	10,695	12,921	15,723
Gross income	**660**	**845**	**1,075**	**1,238**	**1,481**	**1,687**	**1,939**	**1,976**	**2,548**	**2,263**	**1,721**	**1,959**	**2,277**	**3,818**	**7,084**	**10,210**
SG&A expenses	380	404	415	425	410	424	436	446	1,061	1,080	1,081	1,224	1,364	1,624	1,716	1,802
Operating income	**281**	**440**	**660**	**813**	**1,071**	**1,263**	**1,503**	**1,530**	**1,487**	**1,183**	**639**	**735**	**913**	**2,194**	**5,367**	**8,407**
EBITDA	**514**	**687**	**912**	**1,073**	**1,341**	**1,543**	**1,795**	**1,830**	**2,332**	**2,035**	**1,452**	**1,549**	**1,817**	**3,185**	**6,508**	**9,695**
Net financial income	49	53	30	30	30	30	30	30	49	76	121	145	149	163	120	120
Investment income	-3	-5	5	5	5	5	5	5	10	-3	-5	-1	1	2	20	20
Other non-operating income	49	5	2	2	2	2	2	2	25	24	-77	64	-14	58	8	8
Non-operating income	**36**	**-7**	**-3**	**-3**	**-3**	**-3**	**-3**	**-3**	**4**	**4**	**-96**	**62**	**-17**	**23**	**-12**	**-12**
Pretax income	**316**	**433**	**657**	**810**	**1,068**	**1,260**	**1,500**	**1,527**	**1,491**	**1,187**	**543**	**797**	**896**	**2,217**	**5,355**	**8,395**
Income taxes	64	105	164	202	267	315	375	382	574	165	93	135	164	536	1,339	2,099
Effective tax rate (%)	*20.2%*	*24.3%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*38.5%*	*13.9%*	*17.1%*	*17.0%*	*18.3%*	*24.2%*	*25.0%*	*25.0%*
NP (incl. minority int)	**253**	**328**	**493**	**607**	**801**	**945**	**1,125**	**1,145**	**794**	**994**	**450**	**703**	**731**	**1,681**	**4,017**	**6,297**
Minority interest	4	13	10	9	10	10	10	10	23	13	28	24	25	35	40	42
NP after minority interest	**249**	**316**	**483**	**598**	**791**	**935**	**1,115**	**1,135**	**771**	**981**	**423**	**679**	**706**	**1,646**	**3,977**	**6,255**
% to sales																
GP	21%	24%	29%	30%	32%	35%	37%	37%	26%	24%	19%	19%	20%	26%	35%	39%
SG&A	12%	12%	11%	10%	9%	9%	8%	8%	11%	11%	12%	12%	12%	11%	9%	7%
OP	9%	13%	18%	20%	23%	27%	28%	29%	15%	13%	7%	7%	8%	15%	27%	32%
EBITDA	16%	20%	24%	26%	29%	32%	34%	34%	24%	22%	16%	15%	16%	22%	33%	37%
NP after minority interest	8%	9%	13%	15%	17%	20%	21%	21%	8%	10%	5%	7%	6%	11%	20%	24%
ROE	**10%**	**13%**	**18%**	**22%**	**27%**	**30%**	**33%**	**32%**	**12%**	**14%**	**6%**	**8%**	**8%**	**16%**	**31%**	**38%**
EPS (Won)	3,211	4,068	6,225	7,709	10,193	12,048	14,373	14,630	9,938	12,636	5,450	8,752	9,099	21,213	51,244	80,599
DPS (Won)	0	0	0	5,303	0	0	0	12,811	2,100	2,100	1,150	1,800	2,350	5,303	12,811	20,150
Avg no. of o/s shares (mn)	78	78	78	78	78	78	78	78	78	78	78	78	78	78	78	78

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 31: Net cash position well-expected to continue (W0.35tn as of 2Q26; declined from W0.63tn in 1Q due to higher debt amount)
SEMCO – Balance sheet

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets																
Total current assets	**8,003**	**8,404**	**7,947**	**7,583**	**7,840**	**8,082**	**8,390**	**7,727**	**4,598**	**4,888**	**5,208**	**5,892**	**7,098**	**7,583**	**7,727**	**9,559**
Cash & deposits	3,243	3,314	2,350	1,712	1,620	1,568	1,825	1,111	1,185	1,677	1,669	2,013	2,701	1,712	1,111	2,221
Marketable securities	32	28	28	28	28	28	28	28	61	66	65	22	32	28	28	28
Trade receivables	2,071	2,306	2,537	2,664	2,797	3,007	3,157	3,125	1,287	1,056	1,235	1,484	1,855	2,664	3,125	3,735
Inventory	2,549	2,618	2,893	3,037	3,265	3,347	3,246	3,327	1,818	1,902	2,120	2,251	2,413	3,037	3,327	3,439
Other current assets	108	137	140	142	130	132	134	136	247	188	120	122	96	142	136	136
Total non-current assets	**7,658**	**8,162**	**8,634**	**9,354**	**10,007**	**10,750**	**11,583**	**12,607**	**5,343**	**6,109**	**6,449**	**6,901**	**7,498**	**9,354**	**12,607**	**15,416**
Long-term investments	576	555	560	566	572	577	583	589	344	317	277	337	566	566	589	613
Other long-term assets	579	699	706	713	720	727	734	742	318	433	443	581	678	713	742	772
Fixed assets	6,469	6,871	7,329	8,036	8,677	9,407	10,226	11,236	4,639	5,235	5,603	5,933	6,222	8,036	11,236	13,989
Deferred assets	33	38	38	39	39	40	40	40	41	123	126	49	33	39	40	42
Total assets	**15,660**	**16,566**	**16,581**	**16,937**	**17,847**	**18,832**	**19,973**	**20,334**	**9,941**	**10,997**	**11,658**	**12,792**	**14,596**	**16,937**	**20,334**	**24,975**
Liabilities																
Total current liabilities	**4,491**	**4,975**	**4,486**	**4,625**	**4,723**	**4,752**	**4,756**	**4,928**	**2,235**	**2,525**	**2,900**	**3,057**	**3,819**	**4,625**	**4,928**	**4,743**
Accounts payable	1,600	1,697	2,250	2,411	2,532	2,582	2,608	2,869	1,475	1,194	1,283	1,157	1,412	2,411	2,869	2,827
Short-term borrowings	2,447	2,792	1,755	1,737	1,720	1,702	1,685	1,601	56	810	1,068	1,314	2,003	1,737	1,601	1,476
Curr.portion of l-t debt	0	0	0	0	0	0	0	0	316	274	237	244	0	0	0	0
Other short-term payable	444	486	481	477	472	467	462	458	387	247	312	342	404	477	458	440
Total long-term liabilities	**1,078**	**1,062**	**1,067**	**1,071**	**1,076**	**1,081**	**1,086**	**1,092**	**836**	**779**	**727**	**720**	**979**	**1,071**	**1,092**	**1,115**
Bonds	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Long-term debt	199	202	198	194	191	187	183	179	620	337	217	0	188	194	179	165
Others	879	860	868	877	886	895	903	912	216	442	511	720	791	877	912	950
Total liabilities	**5,569**	**6,037**	**5,553**	**5,696**	**5,799**	**5,833**	**5,842**	**6,020**	**3,070**	**3,304**	**3,628**	**3,777**	**4,799**	**5,696**	**6,020**	**5,858**
Equity																
Paid-in capital	388	388	388	388	388	388	388	388	388	388	388	388	388	388	388	388
Capital surplus	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054	1,054
Retained earnings	2,623	2,939	3,432	3,638	4,439	5,384	6,509	6,687	2,090	2,305	2,030	2,525	2,782	3,638	6,687	11,461
Others (adj, etc)	5,750	5,851	5,851	5,851	5,851	5,851	5,851	5,851	3,187	3,792	4,376	4,823	5,318	5,851	5,851	5,851
Minority interest	277	299	305	311	317	323	330	336	152	155	183	227	256	311	336	364
Net assets	**10,091**	**10,529**	**11,028**	**11,241**	**12,048**	**12,999**	**14,131**	**14,315**	**6,871**	**7,693**	**8,030**	**9,016**	**9,797**	**11,241**	**14,315**	**19,117**
Equity ex minority	**9,814**	**10,231**	**10,724**	**10,930**	**11,731**	**12,676**	**13,801**	**13,979**	**6,719**	**7,538**	**7,848**	**8,789**	**9,542**	**10,930**	**13,979**	**18,753**
Net working capital	2,683	2,879	2,838	2,955	3,188	3,436	3,467	3,262	1,490	1,704	1,879	2,358	2,548	2,955	3,262	4,043
Net debt	-629	-348	-425	191	262	293	15	642	-254	-322	-213	-477	-541	191	642	-607
Net debt/equity (%)	**-6%**	**-3%**	**-4%**	**2%**	**2%**	**2%**	**0%**	**4%**	**-4%**	**-4%**	**-3%**	**-5%**	**-6%**	**2%**	**4%**	**-3%**
BVPS (W)	**126,474**	**131,836**	**138,190**	**140,850**	**151,172**	**163,349**	**177,851**	**180,136**	**86,584**	**97,145**	**101,129**	**113,261**	**122,960**	**140,850**	**180,136**	**241,658**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 32: 2026E incremental capex spend should be mainly for MLCC and FC BGA substrate (data center, autonomous driving); that said, 2027-28E operating cash flows should cover high capex spend
SEMCO – Cash flow statement

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
CF from operations	**479**	**581**	**-312**	**437**	**606**	**886**	**1,343**	**1,137**	**1,731**	**1,575**	**1,180**	**1,430**	**1,490**	**1,186**	**3,972**	**6,922**
Net income	253	328	493	607	801	945	1,125	1,145	915	994	450	703	731	1,681	4,017	6,297
Depreciation	223	237	241	250	260	270	281	289	807	807	765	764	862	951	1,100	1,247
Amortization	10	10	10	10	10	10	10	10	38	45	48	50	41	41	41	40
Others	584	479	0	0	0	0	0	0	1,265	-900	401	199	681	1,063	0	0
Changes in working capital	-591	-472	-1,056	-430	-465	-339	-73	-308	-1,294	629	-484	-286	-825	-2,549	-1,185	-662
CF from investment	**-263**	**-631**	**-700**	**-957**	**-900**	**-1,000**	**-1,100**	**-1,300**	**-845**	**-1,328**	**-1,023**	**-806**	**-1,223**	**-2,551**	**-4,300**	**-4,000**
Fixed assets	-255	-588	-700	-957	-900	-1,000	-1,100	-1,300	-844	-1,297	-1,210	-776	-1,192	-2,500	-4,300	-4,000
Investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Others	-9	-43	0	0	0	0	0	0	-1	-31	187	-30	-31	-51	0	0
CF from financing	**310**	**116**	**48**	**-119**	**202**	**63**	**13**	**-552**	**-1,181**	**193**	**-173**	**-309**	**418**	**354**	**-274**	**-1,812**
Short-term debt	444	345	-1,037	-18	-17	-17	-17	-84	-238	712	220	253	445	-266	-136	-125
Long-term debt	10	4	-4	-4	-4	-4	-4	-4	-613	-283	-120	-217	188	6	-15	-14
Bonds	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Stock issuance	0	0	0	0	0	0	0	0	-8	0	0	0	0	0	0	0
Dividends	0	-179	0	0	0	-401	0	0	-131	-162	-160	-89	-138	-179	-401	-968
Others	-144	-53	1,089	-97	223	484	34	-464	-190	-74	-113	-257	-78	794	278	-705
FX effect	**17**	**5**	**0**	**0**	**0**	**0**	**0**	**0**	**42**	**4**	**8**	**29**	**3**	**22**	**0**	**0**
Increase(Dec.) in cash	**542**	**71**	**-964**	**-638**	**-92**	**-51**	**257**	**-715**	**-253**	**444**	**-8**	**344**	**688**	**-989**	**-602**	**1,110**
Cash at beg. of the period	2,701	3,243	3,314	2,350	1,712	1,620	1,568	1,825	1,480	1,185	1,677	1,669	2,013	2,701	1,712	1,111
Adjustments	0	0	0	0	0	0	0	0	-42	47	0	0	0	0	0	0
Cash at end of the period	3,243	3,314	2,350	1,712	1,620	1,568	1,825	1,111	1,185	1,677	1,669	2,013	2,701	1,712	1,111	2,221

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 33: Robust FCF turnaround well-expected in 2027-28E mostly led by exceptionally strong OP rebound (W5tn+ pa) despite higher capex spend (W4tn+ pa vs only W1-2tn previously)
SEMCO – Free cash flow (FCF) analysis

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	3,209	3,457	3,768	4,078	4,589	4,759	5,309	5,348	9,675	9,425	8,909	10,294	11,314	14,513	20,005	25,932
Operating income	281	440	660	813	1,071	1,263	1,503	1,530	1,487	1,183	639	735	913	2,194	5,367	8,407
Depreciation & amortization	233	247	251	260	270	280	291	299	845	853	813	814	903	991	1,141	1,287
EBITDA	**514**	**687**	**912**	**1,073**	**1,341**	**1,543**	**1,795**	**1,830**	**2,332**	**2,035**	**1,452**	**1,549**	**1,817**	**3,185**	**6,508**	**9,695**
Capex	255	588	700	957	900	1,000	1,100	1,300	844	1,297	1,210	776	1,192	2,500	4,300	4,000
Increase of NWC	135	195	-41	117	234	247	31	-205	178	214	174	479	191	406	307	781
Net working capital (NWC)	2,683	2,879	2,838	2,955	3,188	3,436	3,467	3,262	1,490	1,704	1,879	2,358	2,548	2,955	3,262	4,043
Taxes	64	105	164	202	267	315	375	382	574	165	93	135	164	536	1,339	2,099
Free cash flow (FCF)	**60**	**-202**	**89**	**-204**	**-60**	**-19**	**289**	**352**	**736**	**360**	**-24**	**159**	**270**	**-257**	**562**	**2,815**
FCF without NWC change	195	-6	48	-87	174	228	319	148	914	574	150	638	461	150	869	3,596

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

Samsung Electro-Mechanics (SMSGF)
Our PO of W2,000,000 is derived from 32x 2027-28E P/E. This is still lower than SEMCO's 2017 peak (over 40x, above the 2018 cloud boom) or our fair value targets for Japan/Taiwan peers (30-40x). SEMCO's business model and market-dominant position are highly similar to Japan peers, in our view. We acknowledge that SEMCO's long-term historical average P/E was high-teens (vs peak low-20x and trough low-teens). However, its 2027-28 earnings will likely be a few times larger vs the previous upturn periods (2017-18, 2021-22, 2025). Upside/downside risk is mostly related to US Big Tech's AI capex spend increase/cut vs market expectations.

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Korea imposes a capital gains tax on non-resident investors in Korean securities of the lesser of 22% of the net gain or 11% of the gross sales proceeds unless the investor is either (1) resident in a country which has a double tax treaty with Korea that exempts the investor's capital gains from Korean tax or (2) the shares sold are sold through the Korea Stock exchange or KOSDAQ exchange and the seller (including related parties) has not owned 25% or more of the shares of the issuer at any time during the year of sale plus the 5 calendar years preceding the year of sale. Investors should seek their own tax advice.

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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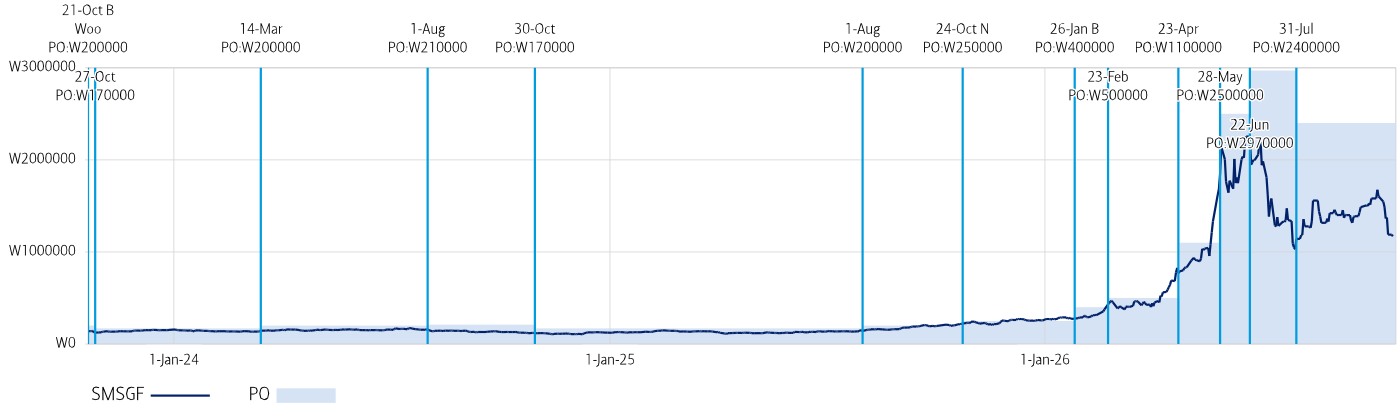
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SEMCO (SMSGF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	2	33.33%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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